

How Grey is Your Valley...

The price difference between mobile phones available in India and abroad has always been a sore issue with consumers. This is because what you get here for as much as Rs 6,500 can easily be bought for up to Rs 1,200 less from the Dubai and Singapore markets. This price gap widens with the latest, and top of the line mobile phones. This is enough of a reason for a popular grey market where the phones are cheaper than those available through the proper channel.

The other reason that contributes to the customer's inclination to the grey market is the narrowing of the rift in services offered by the two factions, namely the authorised dealers and the grey market. Earlier the authorised dealers gave one the advantage of a legal bill of purchase, which was a valuable documentation. However, now even the grey market has begun providing bills along with a purchase. The service came in rather late, once the authorised dealers started selling the phones at competitive price and stroked a fierce contest amongst the grey market operator. In the end, it was a win-win situation for the consumers. But how does this network operate? Is it akin to a den of a horrifying villain from our silver screen or a plush office of the smart, white-collared dude? Let us find out.

STEP 1 Since this is an illegal affair we are talking about, don't think that any *taporis* are involved here. The kind of people, or passengers, as they are commonly known as—who pull this whole affair through—have enough education under their belts to tackle most of the dicey situations that might arise with grace. They are the lot who travel to off-shore markets, make purchases there and dump the phones in our local market. They travel in aircraft and carry other items—mostly electronics gadgets, watches, DVDs and so on. Although they are known faces with the custom officials they still don't get caught because the guy on the other side of the desk gets a percentage to let the luggage go unchecked.

STEP 2 Once the package is out of the airport, 70 per cent of the battle is won. The only thing left now is to get it to some wholesaler. Experience and contacts let them know who to approach in the business—people with enough money to buy the

goods, and further distribute them in the market. These are the second level contacts who either buy the complete lot or pick the one they think is better suited to them.

STEP 3 The wholesaler then spreads the word within the so called business circle about the arrival of a new lot. The new arrivals will be bought by local shop owners situated in the main market and famous malls, where it will be sold to the consumers. This completes the circle. If you think that the passenger, the wholesaler and the shopkeeper, earn hefty margins on these hand-sets—then you are mistaken. The margin on each of the low-end phones is as low as Rs 200 to 150 per piece. It is the high-end phones, other electronic gadgets and optical media, which earn good margins. As you read this, the scene is going to get much tougher for grey market operators. The reason behind this is the minimal, and fast dwindling price difference between the models available through proper channels and the grey market. Even consumers now prefer buying from official sources rather than the grey market.

INFOGRAPHICS: Solomon Lewis and Mahesh Benkar



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